

Founding / Tier 1 Advertising Offer — Legal & Compliance Review Packet

Prepared for review by qualified securities / FTC / consumer-finance counsel. This is NOT legal advice. It is a plain-language description of the offer and the design choices its operator has made to reduce risk, so counsel can assess it efficiently. Nothing here should launch, and no money should be collected, until counsel has reviewed the offer, the mechanics, and every piece of marketing copy.

1. What the offer is

A limited **Founding Advertiser (Tier 1)** introductory offer on a closed-loop, 18+ retail rewards / survey-rewards platform (GamerGain / PlayEarning Nexus). It bundles **two things that are kept deliberately separate**:

1. **An advertising product**, sold on its own merits: a fixed, stated allotment of **200,000** between-survey (and, if enabled, social-feed) ad impressions per year, for a **4-year term**, with priority placement, at a locked-in introductory price (**\$13,000/year, billed as \$1,000 every 4 weeks across 13 cycles**, non-refundable in the default presale model). Delivery is **capacity-paced** — guaranteed by amount, not by date (see §3).
2. **A standalone membership perk**: as a member, a founding advertiser keeps **100% of what they themselves earn** from **third-party** surveys for a **4-year window**, paid **only as Site Cash** (closed-loop, non-cashable store credit). This is a better earning **SHARE** — **no dollar amount is promised, there is NO cap**, and it is **not tied to, a return of, or an offset to** the advertising price. After the window (or for anyone who joins after the offer closes) the member keeps the **post-Tier-1 share** (default **75%**; the platform keeps 25% as its fee).

Included with the advertising package (delivered features, not a financial return): premium membership, an AI campaign manager + concierge support, AI-written creative, A/B testing, analytics, sentiment insights, and a **\$2,000 Site Cash grant** (800,000 points, released over the term) — closed-loop, non-cashable store credit, decoupled from the price paid.

Max-scale feature entitlement (capability, not ad volume). In addition to the included features above, a founding advertiser is provisioned at the platform's **highest (Tier 3 / Unlimited) capability level for every tier-gated product feature** (e.g., maximum AI creative generations, all ad formats, unlimited concurrent experiments and multivariate testing, the full campaign-automation ceiling, and image/video/brand-kit/ localization/auto-refresh tooling), at no additional charge, controlled by the operator flag `FOUNDING_MAX_SCALE_ENABLED` (default on). This is a **product-feature/capability entitlement only**; it does **not** increase the delivered **ad-impression volume** (the 200,000/yr allotment and its capacity-paced, deliver-until-met guarantee are unchanged), and it carries **no revenue, sales, or ROI promise** — it is additional advertising value delivered, framed strictly as features provided. *This wording is new and is flagged below as pending counsel review.*

Category exclusivity: each founding advertiser is the **only founding advertiser in their category** — a scarcity/positioning perk, not a financial promise.

Availability & two-phase pricing: the founding offer is **open until 200,000 founding advertisers enroll**, then it **closes** and becomes the standard Tier 1 offer at **+30% (\$16,900/year)**. Founders keep their founding price for life; closing changes only availability, the go-forward price, and the go-forward survey share (post-close members keep 75%, not 100%). Reaching the cap triggers **nothing owed to earlier buyers** — it is a pure availability/scarcity threshold, not a payout event.

Upsell: after joining, members may be offered additional advertising or spend options. These are optional.

2. The two launch gates (200,000 advertisers AND 200,000 users)

Launch/full delivery is gated on reaching **both: 200,000 founding advertisers** and a **separate 200,000 premium-user pool** acquired with the founding capital. The milestone gates **delivery**, not a refund: in the default presale model there is no refund tied to it (purchases are disclosed non-refundable); in the escrow/hybrid models the refundable portion is flagged for refund if the deadline passes with either gate unmet. The two pools are distinct — founding advertisers also act as users during the year, but count toward the advertiser gate.

3. The mechanics that carry the most legal weight

1. **Non-refundable presale.** The \$13,000/year (billed \$1,000 every 4 weeks × 13 cycles) is not held in escrow and is

not refundable in the default model. The offer page shows a prominent **non-refundable risk warning** and requires an explicit acceptance checkbox; acceptance is recorded in an append-only consent ledger.

2. **Capacity-paced delivery — no fixed timeline, never ROI.** The advertising is guaranteed by **amount, not by date**: impressions deliver as the audience grows, with no promised delivery date and no promised year-one volume, and the platform keeps delivering at no extra charge until the full promised amount is delivered. The guarantee is **advertising delivered** (impressions/placements measured on the platform's own surfaces) — **NOT** revenue, sales, sign-ups, or ROI. This disclosure is shown clear-and-conspicuously and recorded to the consent ledger.
3. **Survey perk is a SHARE, earned through the member's own labor, paid as store credit.** The member keeps 100% (in-window) of what *they* earn from *third-party* surveys, as closed-loop Site Cash. No amount is promised; there is no cap; it is explicitly separate from the advertising price, and reverts to the post-Tier-1 share (75%) after the window or for post-close members.
4. **Store-credit grant is non-cashable.** The \$2,000 Site Cash grant is closed-loop store credit released over the term — spendable only on-site, never redeemable for cash, and framed as a delivered perk, not a dollar return or a refund.
5. **No guaranteed return; no shortfall charge.** No 2x/4x, no "zero-risk," and no auto-charge for an earnings shortfall.

4. Issues for counsel — and how the design addresses each

(a) Securities / investment contract (Howey)

- **Design:** the perk is a **variable earning share** on the buyer's **own survey labor** (weakening "profit from the efforts of others"), paid only as **store credit**, with **no cap, no promised amount, and no recoup framing**. The advertising is an ordinary product sale, and the store-credit grant is non-cashable.
- **For counsel:** Does the offer present investment-contract risk? Is "keep 100% of your own survey earnings" clean as a loyalty/rate benefit? Is a non-cashable \$2,000 store-credit grant, released over the term, clean given it is not cashable and is framed as store credit? Anything in the *overall impression* (price shown near the perk/grant) to fix?

(b) FTC earnings claims / Business Opportunity Rule

- **Design:** the perk is stated as a **share** ("keep 100% of what you earn"), not an amount; no per-day or per-minute earnings figure appears; availability and earnings are labeled variable and not guaranteed.
- **For counsel:** Is a pure **share** statement (no amount) outside earnings-claim substantiation rules? Does a "pay upfront, then earn by doing surveys" shape implicate the Business Opportunity Rule, and if so what disclosure document is required?

(c) Capacity-paced delivery guarantee

- **Design:** the delivery promise is framed strictly as **advertising delivered** (a stated amount of impressions/placements on the platform's own surfaces), with no fixed date and no ROI/revenue claim, and the platform commits to keep delivering until the amount is met.
- **For counsel:** Is the "guaranteed by amount, delivered until met, no fixed date, not a business result" framing sufficient to substantiate the guarantee? Is the disclosure copy adequate and conspicuous enough?

(d) Crowdfunding / pre-sale delivery obligations (FTC)

- **Design:** funds are earmarked to build/launch/grow and acquire the user audience; the non-refundable / may-not-launch risk is disclosed prominently and accepted; records are kept; the operator intends to reserve enough to actually deliver the advertising sold.
- **For counsel:** What obligations attach to the non-refundable pre-sale? Is any portion legally required to be refundable/escrowed? What delivery-effort and record-keeping standard should we hold ourselves to?

(e) Money transmission / stored value

- **Design:** Site Cash (including the grant) is **closed-loop and non-cashable** (no cash redemption, no P2P). Presale proceeds are the operator's revenue (not held for the customer).
- **For counsel:** Do any state stored-value / money-transmitter statutes apply to the store credit or the proceeds in target states? Does switching to the (still-available) escrow/hybrid model change the analysis?

(f) Consumer protection / non-refundable

- **Design:** prominent non-refundable disclosure + explicit consent; **no negative-option billing and no auto-charge**. Upsells after signup are optional and do not affect the original purchase.
- **For counsel:** Are the non-refundable terms enforceable in target states? Any cooling-off / cancellation rights required?

(g) The “Ponzi” line

- The impression allotment is a fixed, stated deliverable. **No promised payout to earlier buyers is ever funded out of later buyers’ money** — member survey earnings come from real third-party survey demand, not from new intake, and hitting the 200k availability cap pays nobody. Please confirm the structure cannot be characterized as paying returns from new deposits.

(h) The two-phase price + two-tier rate

- Founders keep 100% of their own survey earnings in-window at the founding price; the offer then closes to a higher standard Tier 1 price (+30%) and a 75% go-forward share. This is a standard “introductory rate then standard rate” structure.
- **For counsel:** Any issue with advertising a time-limited introductory **price/rate** that later steps up/down, so long as no amount is promised and the change is disclosed up front?

5. What is intentionally NOT in the offer

- No guaranteed financial return (no 2x/4x, no “double your money”).
- No cap pegged to the amount paid; no cap at all on the survey share.
- No recoup / “earn your money back” framing anywhere.
- No promised delivery date and no ROI/revenue/sales guarantee (delivery is capacity-paced, by amount).
- No stated per-day or per-minute earnings figure.
- No auto-charge for an earnings shortfall.
- No cashable grant — all Site Cash is closed-loop and non-cashable.

6. Operator controls (feature flags) counsel should know exist

- Availability cap: `FOUNDING_ADVERTISER_SLOTS` (200,000 founding advertisers).
- Two-phase price: `FOUNDING_ADVERTISER_PRICE_USD` (\$13,000/yr with 13-period billing) and `TIER1_PRICE_UPLIFT_OVER_FOUNDING_PCT` (0.30 → \$16,900 post-close).
- Category exclusivity: `FOUNDING_CATEGORY_EXCLUSIVITY` (on).
- Delivery disclosure: `FOUNDING_DISCLOSURE_COPY` (capacity-paced, no fixed date, advertising delivered ≠ ROI).
- In-window survey share: `FOUNDING_SURVEY_EARN_SHARE_PCT` (1.0 = keep 100%); post-Tier-1 fee `TIER1_POST_PLATFORM_FEE_PCT` (0.25 = member keeps 75%).
- Perk window: `FOUNDING_FULLKEEP_YEARS` (4); no cap (`FOUNDING_FULLKEEP_CAP_TO_PRICE` = **off**).
- Store-credit grant: `FOUNDING_STORE_CREDIT_POINTS` (800,000 ≈ \$2,000, non-cashable, released over the term).
- Max-scale feature entitlement: `FOUNDING_MAX_SCALE_ENABLED` (default on) — founders resolve to the Tier 3 / Unlimited **capability** level for every tier-gated feature; does **not** change the delivered ad-impression volume. (*New; wording pending counsel review — see §1.*)
- Launch gates: `FOUNDING_LAUNCH_MILESTONE_FOUNDERS` (200,000) and `FOUNDING_LAUNCH_MILESTONE_PREMIUM_USERS` (200,000).
- Funds model: `FOUNDING_FUNDS_MODEL` = presale | escrow | hybrid (currently **presale**, non-refundable).
- No shortfall charge: `FOUNDING_MEMBER_SHORTFALL_CHARGE` = **off** (must stay off).

7. The specific asks for counsel

1. Is this offer an unregistered security or a regulated business opportunity? If not, is the structure sound as an advertising sale + a loyalty rate perk + a non-cashable store-credit grant?
2. Is a **share** statement (“keep 100% of what you earn,” no amount) outside earnings-claim substantiation? What disclosures, if any, are still required?
3. Is the **capacity-paced delivery guarantee** (by amount, no date, advertising delivered ≠ ROI) adequately framed and disclosed?
4. What obligations and disclosures apply to the non-refundable pre-sale; should any portion be escrowed/refundable?

5. Do money-transmitter / stored-value rules apply to the Site Cash, the \$2,000 grant, or the proceeds in any target state?
6. Please review and mark up the exact member-facing copy (offer page + disclosures) before launch.

Full technical detail of what is coded is in `ADVERTISER-FUNDED-LAUNCH.md`. The two-phase offer spec is in `FOUNDING-PRE-REVENUE-OFFER-AND-TIER1-SPEC.md`.